

I do the same check for stocks in the industry. I count how many are rising over the past 6 months. If I follow a dozen stocks in the industry and nine of them are rising, then that's good. Too many trending lower could spell a problem for a bullish trade.

Finally, after checking the general market and checking the industry health, I'll look at the stock. On the weekly or monthly scale, if the stock has been trending lower for years, then I won't buy it. If it's been making new highs, trending upward in a nice 30- to 45-degree slope, then I feel reassured that the uptrend will continue. That's a momentum play.

Ask yourself this: How long will the uptrend continue? Is buying now closer to the start of the trend or the end? Of course, we won't know for sure until much later, but I want to avoid uptrends that end just after I buy. When that happens, it really pisses me off.

On a shorter-term scale, look for overhead resistance and underlying support to help gauge where the stock might reverse.

Statistics

[Table 9.2](#) shows general statistics for this chart pattern.

Number of formations. I found 1,223 patterns in stock data from July 1991 to October 2019 in 703 stocks. However, after slicing-and-dicing the bear market samples, there were too few to present here. So the following tables only show bull market statistics. Not all stocks covered the entire range, and some no longer trade.

Reversal (R), continuation (C) occurrence. Because the inbound price trend can come from any direction, we can't claim this pattern is a bottom or a top. But we can compare the inbound trend with the direction after the breakout. If the two are in the same direction, then the pattern acts as a continuation of the prevailing price trend.

If price enters the pattern from the top and exits out the top, that's a reversal. The same can be said if price enters from the bottom and breaks out downward (it's also a reversal).

Upward breakouts act as continuations most often, so we know the inbound price trend must have been upward, too. Downward breakouts act more